



March 15, 2025

Mr. Faisal D'Souza
NITRD National Coordination Office
National Science Foundation (NSF)

Submitted via e-mail to [REDACTED]

In re: Response to Request for Information on the Development of an Artificial Intelligence Action Plan

Dear Mr. D'Souza:

Thank you for the opportunity to respond to the Request for Information (RFI) issued by NSF on behalf of the White House Office of Science and Technology Policy (OSTP), on the Trump Administration's development of an Artificial Intelligence (AI) Action Plan. We appreciate the Administration's early attention to this important issue, which is critical for American innovation and economic security.

The National Retail Federation (NRF) is the largest trade association in the United States representing the retail sector. It passionately advocates for the people, brands, policies and ideas that help retail succeed. From its headquarters in Washington, D.C., NRF empowers the industry that powers the economy. Retail is the nation's largest private-sector employer, contributing \$5.3 trillion to annual GDP and supporting more than one in four U.S. jobs — 55 million working Americans. For over a century, NRF has been a voice for every retailer and every retail job, educating, inspiring and communicating the powerful impact retail has on local communities and global economies.

The retail sector is one of the top industries in the United States in its use of AI technologies and applications. Retailers have used AI and machine learning (ML) applications for decades to serve a variety of business needs, including product recommendations, customer service requests, and fraud prevention. The development of new generative and agentic AI capabilities over the past two and a half years has rapidly accelerated this AI adoptive curve in retail. According to one major research firm, retail is one of the top industries in its investment in AI, with spending in 2024 at more than \$25 billion globally.¹

¹ IDC's IDC's Worldwide AI and Generative AI Spending – Industry Outlook, August 2024.
<https://blogs.idc.com/2024/08/21/idcs-worldwide-ai-and-generative-ai-spending-industry-outlook/>

Given the priority that retailers are placing on their AI strategies and investments, the National Retail Federation has significantly increased its engagement on AI issues over the past several years. In June 2023, we established a new AI Working Group for our retail members to provide a forum for dialogue on AI best practices and governance and support our engagement on AI policy issues.² AI technology and business leaders from over 100 large and medium-sized retail companies currently participate in this working group.

Later in 2023, NRF released its “Principles for the Use of AI in Retail,” the first attempt within the sector to articulate voluntary core AI principles for retail companies. This document addresses both companies’ internal AI governance and their engagement on AI issues with their customers, employees and business partners.³ Over the past year and a half, NRF has convened dozens of meetings and conference sessions on a variety of AI issues and become increasingly engaged on AI policy at the federal and state level.

Given this context, we are encouraged by the Trump Administration’s initial efforts to reframe AI policy in the United States. While we recognize that AI technologies could present novel societal, economic and national security risks, we applaud the Trump Administration’s focus on further enabling innovation and the broad set of opportunities brought about by new AI technologies.

The remainder of this letter highlights six issues that we hope that the Administration will consider as it develops its AI Action Plan. We stand ready to work with the Office of Science and Technology Policy and other U.S. government agencies to support these efforts.

- 1. Take a sector-by-sector approach to the policymaking process:** First, we encourage the Administration, as it considers new policies or regulations with respect to AI, to take a sector-by-sector approach that is clear on the potential AI risks that a given policy proposal is intended to mitigate. The vast majority of current and potential AI use cases in retail are relatively low risk, and we are concerned that fears about more significant AI risks in other sectors may lead to policies or regulation that also cover retailers’ low-risk activities. Thus, we would encourage approaches that appropriately account for the risks in each sector and what companies in that sector are already doing on a voluntary basis to address them.
- 2. Engage with AI deployers:** Second, we encourage the Administration to increase its engagement with sectors that are major “deployers” of AI technologies. The Biden

² NRF AI Working Group webpage. <https://nrf.com/membership/committees-and-councils/ai-working-group>

³ NRF Principles for the Use of AI in Retail. <https://nrf.com/research/principles-use-artificial-intelligence-retail-sector>

Administration's engagement with the private sector on AI issues was very focused on working with the large AI developers, to the detriment of engagement with companies in the retail and other major deployer sectors (e.g. finance, health care, travel, hospitality). In most instances, these deployers are the companies with whom the American public will have the most direct engagement with AI technologies. For example, Americans are much more likely to interact with AI on a given day via a retailer's customer service chatbot or product recommendation engine than they will by directly using a developer's large language model.

As retailers continue to integrate AI, it is essential that any AI policy framework supports these advancements while consistently recognizing the distinction between those who develop AI technologies and those who deploy them. Compliance obligations should remain practical and proportionate to the level of risk associated with deployment, ensuring that innovation is not hindered by requirements better suited for AI developers. NRF and our retail members stand ready to support this engagement through any industry task forces or working groups that the Administration decides to establish.

- 3. Evaluate the impact of AI regulation on small businesses:** Third, we encourage the new AI Action Plan, and any policy proposals that emerge from it, to carefully examine the impact on small businesses, including in the retail sector. We believe that there are tremendous opportunities for small retailers to use AI tools and services to expand their businesses, serve new customers, and become more efficient in their operations. But these opportunities will be limited if there are excessive regulations or compliance requirements for the use of AI applications. Excessive regulations and compliance standards could also create an environment where only the biggest and most well-resourced developers can survive. This would lead to a lack of competition among AI service providers that would ultimately result in vendor lock-in and escalating IT costs for small businesses.
- 4. Retain NIST as a primary forum for public-private partnerships:** Fourth, we encourage the Administration to continue to utilize the National Institute of Standards and Technology (NIST) as the key forum for public-private sector engagement on AI-related standards, frameworks and best practices. Retailers have found value in using the NIST AI Risk Management Framework (RMF) as a tool to support their internal AI governance. In early 2024, NRF joined the NIST AI Safety Institute Consortium, along with several hundred other private sector and non-profit organizations, as one step to increase our engagement with NIST on AI issues.⁴

⁴ NIST AI Safety Institute Consortium membership list. <https://www.nist.gov/aisi/artificial-intelligence-safety-institute-consortium/aisic-members>

We are aware of concerns articulated by officials in the Trump Administration about the NIST AI Safety Institute and its work to date. We support potential efforts to rebalance its focus but would be concerned by any future decision to diminish NIST's role on AI issues. This could open the door for other agencies with a stronger enforcement focus to fill the void and create a more adversarial dialogue between the government and the private sector. We encourage the Administration to rebrand and relaunch an AI-focused institute within NIST, e.g. as the AI Innovation and Standards Institute, and continue to host an associated consortium of private sector and non-governmental organizations. We also encourage the Administration to clearly outline how existing NIST frameworks will be expanded to include emerging AI technologies, including agentic AI and reasoning models.

5. **Support initiatives to counter AI-enabled adversarial threats.** Cybercriminals and fraudsters are increasingly using AI tools to improve their abilities to carry out cyber attacks and fraud schemes that harm retailers and their customers. For example, threat actors have improved the plausibility of their phishing emails and are using AI voice tools to bypass security controls within companies. We are also seeing fraudsters use AI tools to create fake online advertisements and copies of retailers' ecommerce websites, as the basis for tricking consumers into going to these sites, getting them to carry out fake purchases, and in doing so giving their personal and financial information to these criminal groups. This not only defrauds consumers but also undermines trust in online commerce. We urge the Administration to increase efforts within U.S. cybersecurity, law enforcement and intelligence agencies to better understand these threats and take actions to disrupt organized criminal groups that are developing and facilitating these attacks and fraud schemes at scale.
6. **Demonstrate federal leadership on AI policy:** Sixth, and finally, we are very concerned about growing efforts by state legislatures to pass AI legislation that would regulate private sector use of AI in their states. This could lead to a situation where retailers would need to comply with different AI compliance and reporting standards in each state, a level of fragmentation that would be costly for companies, reduce profits, and deter additional investments in AI technologies and in the American economy.

This policy outcome would be extremely harmful to American innovation on AI and the U.S. economy. Given this, the Administration should encourage Congress to pass legislation that will create a risk-based framework for AI regulation, focused on preventing clear and demonstrable harms tied to high-consequence risks. Such an approach would help ensure that regulations are appropriately targeted and effective. At the same time, such legislation should preempt state legislation and provide appropriate levels of liability protection to companies in the private sector that follow clear baseline standards for their governance of AI technologies. Beyond AI-specific legislation, we encourage the Administration to support



preemption across areas of law that inform AI regulation, such as authorship and ownership under patent and trademark law, bias and discrimination under employment law, and consumer protection principles like notice and opt-in requirements, which will help create a consistent and predictable regulatory environment.

Thank you for the opportunity to provide this feedback on the retail sector's perspective on AI, in support of the important work of developing and releasing the forthcoming AI Action Plan. We look forward to working with the Office of Science and Technology Policy and other agencies to continue this discussion and to support initiatives that enable retailers to be innovative in their use of AI.

Sincerely,

Stephanie Martz
Chief Administrative Officer and General Counsel
National Retail Federation

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